

GAURAV GAMBHIR

The Burn To
Earn Formula
for Renters



The 3 Shockingly SIMPLE Steps

To Build Wealth
with Real Estate

My name is Gaurav Gambhir

When my wife and I got married, we started out renting like many newlyweds. But after two years of paying \$1,200 in rent monthly, I felt like we were burning money. Something had to change.

As immigrants without permanent status, we were hesitant to buy. We didn't have a 20% down payment, and committing to a mortgage felt overwhelming. What if we lost our jobs? The fear of making the wrong decision held us back.

But as I learned more about real estate, I discovered we didn't need as much upfront as we'd thought. That knowledge gave me the confidence to buy my first home—an investment that changed my life.

Since then, I've shared what I learned, helping hundreds of renters buy their first homes.



“

"Our rent was about \$1,200 a month. At that time, it felt like we were setting twelve \$100 bills and lighting them on fire. Then the first of the month comes by, we take another twelve \$100 bills, we take a lighter, and light them on fire. And we did that every month for two years. So that's the feeling I got on the first of every month."

”

GAURAV GAMBHIR

Ranked in the Top 1%!

We represent
1 in 5 sales
transactions
in the City of
Philadelphia.



We close
40% of all
rental
transactions
in Center City
Philadelphia.

Fast forward to today, I've reached new heights

Our team is now ranked among the top 1% of real estate agents in Philadelphia, managing over 4,500 rental units and helping hundreds of clients transition from renting to proud homeownership.

I approach real estate with a unique perspective—one rooted in my own struggles and challenges as a first-time buyer. My background in computer science drives my analytical approach to homeownership, but what sets me apart is my dedication to making the process clear and achievable for everyone. Over the years, I've helped many clients not only buy their first homes but also build long-term financial security.

The journey I went through allows me to empathize with their fears and guide them toward the incredible wealth-building potential of homeownership.

It's a life-changing decision, and I'm proud to be a part of that transformation for so many.

* Zip codes include: 19102, 19103, 19106, 19107

Luckily, early on in
my journey,
**I had an
epiphany.**



After conducting extensive research and speaking with individuals who had purchased homes in the past,

**I realized that renting was
limiting our financial potential.**

With my family's income remaining relatively stable during the early years of my career, it became clear that I needed to plan smarter, adopt strategies to invest, and work more efficiently in order to achieve financial growth.

Considering that 20% to 40% of our pre-tax income was allocated to housing, purchasing a home emerged as one of the most significant and impactful financial decisions we could make.



The Game Changing Strategy

$$\frac{\text{Monthly Rent} + \text{Opportunity Lost}}{\text{Monthly Mortgage} + \text{Insurance} + \text{Taxes} - \text{Tax Savings}} =$$

The Math Equation Matters

My method for helping first-time homebuyers begins by breaking down the math equation to show whether buying a home makes more sense than continuing to rent.

I call this formula from ‘Burn-to-Earn™.’

This approach can be used for everyone's home buying journey:

- Simplifying the financial aspects of homeownership,
- Helping clients understand that the numbers often favor buying over renting,
- Customizing the math for each client, comparing their rent payments to potential mortgage costs,
- Factoring in grants, down payments, and long-term appreciation.

By demonstrating how ownership can lead to wealth-building through equity and appreciation, I give my clients the clarity they need to confidently start their journey toward homeownership.



Never feel like you are burning money again...

Once affordability is established and we have our math equation to prove the investment, we start our search. We create a clear distinction between "must-haves" and "wants."

I encourage clients to make lists of their priorities to help them balance what they want in a home with what they can realistically afford.

By showing them many homes, it ensures that clients feel confident in their decision, avoiding the fear of missing out.

My team and I also provide long-term value by making sure they not only find a home they love but one that could be rented out or provide financial flexibility if needed.

Lastly, I emphasize the importance of understanding available financial assistance options, such as grants or low-down-payment programs, which make homeownership more accessible.



“

“My commitment to making homeownership a reality, even for those who may feel they can’t afford it, is what sets me apart.”

”

GAURAV GAMBHIR

THE ONLY MATH EQUATION THAT MATTERS FOR HOME OWNERSHIP





THE BURN-TO-EARN FORMULA

3 Simple Steps to Build Wealth with Real Estate

1 Crush The Myths

2 Know Your Math

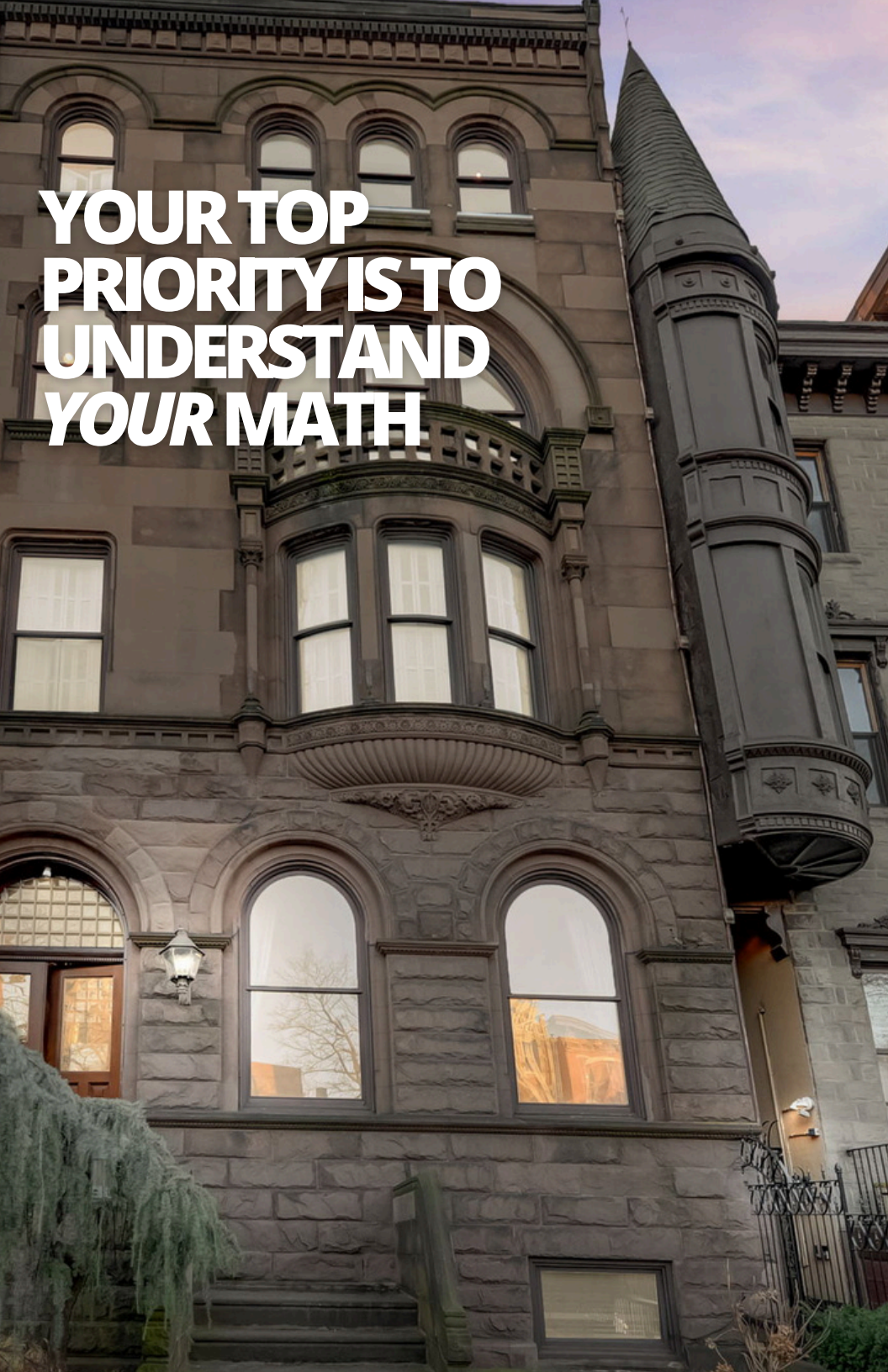
3 Get Leverage

The financial information provided is intended for informational and illustrative purposes only. These are approximate figures and may vary based on individual circumstances, lender terms, market conditions, and location. Please consult with your accountant or tax advisor before making a purchase.



Overview of the Burn-to-Earn Formula™

OLD WAY	NEW WAY
Pay \$2,200 in rent, never seeing value in the future.	Pay \$2,200 in a mortgage, building equity each month.
Pay Security Deposit, first and last month to secure your place. If renting at \$2,200 month, you need \$6,600 – every time you move.	Pay 3%-10% down payment or \$10,500 on a \$350,000 home so when you move you have equity!
Rent can increase annually with no control over costs.	Lock in a fixed-rate mortgage, providing stability and predictable housing costs.
Leave with nothing when you move - no ownership benefits.	Appreciation and potential rental income when you sell or rent your property.
No appreciation or wealth-building.	Appreciation and increasing your net worth over time.



**YOUR TOP
PRIORITY IS TO
UNDERSTAND
YOUR MATH**



Burn-to-Earn Formula™

How to Move From Renting to Owning

1

Crush The Myths

THE TOP 6 MYTHS ABOUT BUYING A HOME

We know buying your first home is one of the biggest financial decisions you will ever make. We're here to walk you through all of your options. Don't get distracted by the many myths. You can do this!

1

MYTH: You Need a 20% Down Payment

FACT: The biggest misconception is that buyers need 20% down to purchase a home. Learn about the programs on the following pages that range from no down payment to 3, 5, or 10%.

2

MYTH: Homeownership is a Long-Term Investment

FACT: Renters often fear being tied down to a 30-year mortgage, worrying that changes in their job or life situation could arise. Owning gives you options, including selling at a profit or renting to others.

3

MYTH: Concerns About Maintenance Costs

FACT: Renters often worry about the costs and responsibilities of home maintenance, preferring the flexibility of calling a landlord for repairs. However, the wealth-building potential of homeownership typically far outweighs maintenance costs.



Burn-to-Earn Formula™

How to Move From Renting to Owning

Crush The Myths

THE TOP 6 MYTHS ABOUT BUYING A HOME

4

MYTH: A High Credit Score is Always Required

FACT: People assume they need a perfect credit score to qualify for a mortgage, which isn't always the case. Potential buyers can explore programs available for those with lower credit scores or have a parent or relative cosign.

5

MYTH: Owning is More Expensive Than Renting

FACT: When you account for tax benefits, equity build-up, and potential appreciation, buying can be comparable or even less expensive in the long run.

6

MYTH: No Assistance Programs To Help

FACT: There are many programs including grants, down payment assistance programs, and low-down-payment loans exist. Review a few we've listed on the following pages.



Top Grant and Loan Programs

1. Borrow From Your 401k. If you have been working for a few years and have a 401k you can borrow up to 50% or \$50k.

2. Philly First Home Grant. Assistance grant of up to \$10,000 (or 6% of the purchase price, whichever is less) to help first-time home buyers. This grant is to assist with down payment and/or closing costs.

3. Borrowsmart Access. If you qualify for a conventional loan and make less than \$160,000 per year, you're eligible for a grant of \$3,000.

4. PHFA K-fit Program. For First Time Buyers that meet the eligibility requirements can get up to 5% of the sale price as a forgivable 2nd loan (no payment required). It can be used in conjunction with a conventional or FHA loans.

5. State and Local Down Payment Assistance Programs. Many states and municipalities, including Philadelphia, offer down payment assistance programs to help first-time homebuyers with upfront costs.

6. Fannie Mae's HomePath Ready Buyer Program. Offers up to 3% in closing cost assistance for first-time homebuyers purchasing a HomePath property (foreclosed homes owned by Fannie Mae). Assistance for closing costs and access to properties at a reduced price.

7. FHA Loans. Requires only 3.5% down for buyers with credit scores of 580 or higher. FHA loans are government-backed, making them easier to qualify for with low credit scores.

8. USDA Loans (United States Department of Agriculture). Aimed at rural and suburban homebuyers with low to moderate income. No down payment required. Low mortgage insurance premiums. Flexible credit score requirements (as low as 640).

9. Good Neighbor Next Door Program. Provides a 50% discount on homes for eligible law enforcement officers, teachers (pre-K through 12th grade), firefighters, and emergency medical technicians. The program helps those in specific professions purchase homes at a significant discount.

10. VA Loans (Veterans Affairs Loans). VA loans are available to active-duty military members, veterans, and eligible surviving spouses. No down payment required. No private mortgage insurance (PMI). Flexible credit requirements.

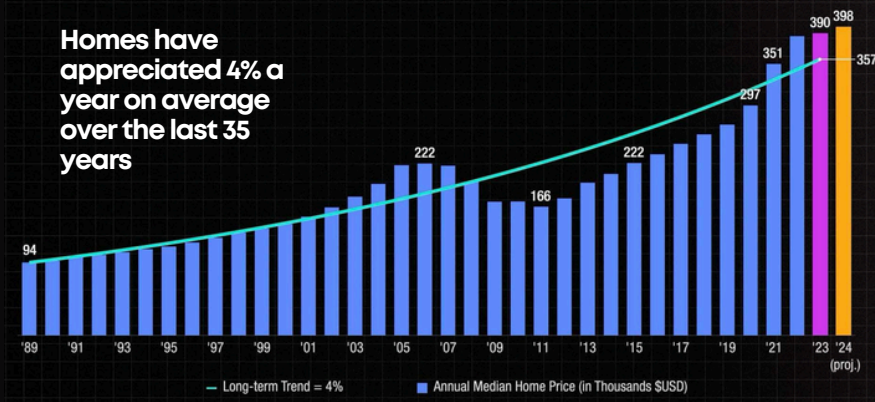
11. Section 184 Indian Home Loan Guarantee Program. Offers low down payments and flexible underwriting for Native American homebuyers.

12. Neighborhood Assistance Corporation of America (NACA). NACA offers a no down payment, no closing costs, and no credit score requirement mortgage.

For qualification assistance or to evaluate which are right for you visit: burntoearnformula.com

Home Prices - Annual

Homes have appreciated 4% a year on average over the last 35 years



The Perfect Time to Buy

Many renters wait for the “perfect time” to buy, thinking that lower interest rates or a bigger down payment will make a big difference.

If we look at the data, it shows that it’s almost always the right time to buy.

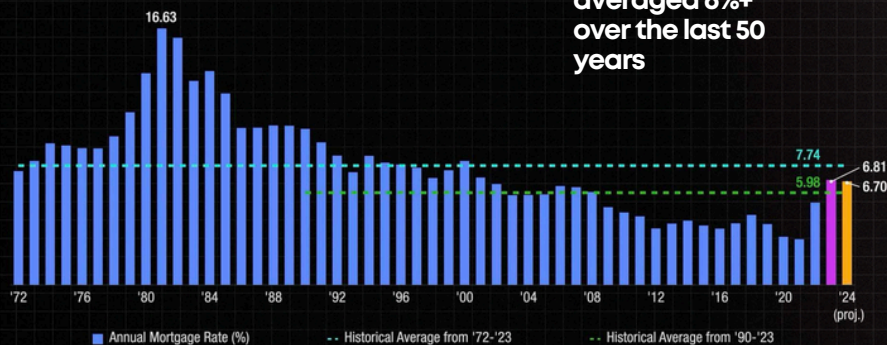
Even if you start with a higher interest rate on your mortgage, buying a home can still be a smart move. Here’s why: homes usually go up in value over time, which is called appreciation. For example, even if you’re paying more in interest, the home itself might be increasing in value each year. This increase can end up being more than what you’re paying in extra interest.

In fact, homes have appreciated by an average of 4% per year for over 35 years, regardless of interest rates.

For example, if someone bought a \$200,000 home in 2000 - even at the height of interest rates at 8% - that home would be worth around \$392,000 today. That’s a \$192,000 gain in value.

Mortgage Rates - Annual

Interest rates have
averaged 6%+
over the last 50
years



Market Update | August 2024 | Copyright © 2024 Keller Williams Realty, Inc.

Source: Freddie Mac

SCC

KW TOWN LIFE

Refinance When the Time is Right

The above graph shows that appreciation outpaces interest costs over time, making homeownership a strong investment even when rates are higher.

A key advantage of owning is the ability to refinance when interest rates drop. Refinancing allows you to secure a new loan with a lower interest rate, which not only reduces your monthly payment but also saves you money on total interest over time.

In the long run, you're working toward paying off your mortgage entirely. Once it's paid off, you'll own the home outright with no more monthly payments. Your home then becomes a valuable asset that can even generate income, such as by renting it out. So, even if you start with a higher interest rate, appreciation and refinancing can help turn homeownership into a smart investment, growing in value and providing financial security for the future.

This may not be the right option for everyone, though—let's work through the numbers to find out what makes sense for you.



Burn-to-Earn Formula™

How to Move From Renting to Owning

2

Know Your Math

It's all about **affordability**; how much do you spend in rent now, and what can you afford monthly. A critical factor is the "opportunity cost for renting"- this is the estimated *lost revenue* from the average annual appreciation of the home you would love to purchase!

The numbers below are based on the following criteria:

Home Value \$350,000

Mortgage \$300,000

The Key Variables You Need to Know:

1. Start with Your Monthly Rent

Input your current monthly rent. Note, rent will rise over time.

2. Check the Monthly Mortgage Payment

Quick rule; for every \$100,000 you borrow, monthly payment is about \$600. This includes principal and interest, avg home price of \$350k (\$300,000 mortgage).

3. Taxes and Insurance

Quick rule; 1-2% depending on your state. We used 1.5% for this example. Average homeowners insurance at \$1,700 annually.

4. Maintenance

Estimate 1% of home value (could be more for an older home).

5. Opportunity Cost For Rent (Lost)

Estimate 4%; the avg annual appreciation rate for homes over the last 40 years.

6. Tax Benefits

Check on the tax benefit; money back from the government can lower the costs.

Monthly Rent	Monthly Own
\$2,200	
	\$1,800
	\$579
	\$291
\$1,166	
	(-\$300)

Total Cost of Rent vs Own

Rent	Own
\$3,366	\$2,370



Breaking Down The Variables

- 1 Start with Your Rent:** To begin, use your current monthly rent as the baseline. This figure will help you compare renting with the potential cost of owning a home. If you're paying \$2,200 each month in rent, that's the starting point.
- 2 Calculate Your Monthly Mortgage Payment:** Next, calculate what a monthly mortgage payment would look like. This includes Principal and Interest, A quick rule:
 - Mortgage (Principal and Interest): Estimate around \$600 in monthly payments for every \$100,000 borrowed
- 3 Add in Taxes and Insurance:** Now add in the homeowner taxes and homeowner insurance:
 - Taxes: Estimate 1.5% (1-2% depending upon your location)
 - Insurance: Estimate \$1,700 annually
- 4 Add in Extra Home Ownership Costs:** Homeownership comes with maintenance costs for things like repairs and upkeep, which vary by the age of the home. For newer homes, set aside around 1% of the home's value per year. For older homes, it may be closer to 1.5% to 2%. On a \$350,000 home, 1.5% would mean budgeting about \$437 monthly for maintenance. Adding this to your mortgage gives you a more realistic monthly cost estimate.

Breaking Down The Variables

5 Factor in the Lost Opportunity Cost:

Renting doesn't allow you to build wealth through equity or home appreciation, which are major financial advantages of owning. To capture this "lost opportunity," we add 20% to your monthly rent. This 20% reflects the typical 3-5% annual home appreciation and equity growth you could gain by owning over 4-6 years. For example, if your rent is \$2,200, the adjusted cost with lost opportunity is \$2,640. This figure better represents the long-term cost of renting.

6 **Incorporate Your Tax Benefits:** As a homeowner, you may also benefit from valuable tax deductions, which can reduce your overall cost of ownership. Deductions on mortgage interest and property taxes mean that you might pay less in taxes each year, effectively lowering your monthly cost of owning the home. These tax savings can make a meaningful difference, especially when compared to renting. Reference link below for details:

<https://myhome.freddiemac.com/resources/calculators/tax-savings>



The Math Equation that Matters

6 VARIABLES

IN THE BURN-TO-EARN™ FORMULA



1 Monthly Rent



\$2,200

How much do you pay in rent each month?

2 Mortgage Payment



\$1,800

The avg home in PA is \$350K. With a \$300K loan at 6%, your monthly mortgage would be around \$1,800.

3 Tax & Insurance



\$579

Taxes are typically 1.5% of a \$350k home and homeowners insurance can be estimated at \$1,700 annually.

4 Ownership Costs



\$291

For a \$350K home, maintenance costs would be around \$291 or 1% of the home's value.

5 Opportunity Cost



\$1,166

A \$350K home could appreciate by \$42,000 in just 3 years at a rate of around 4%.

6 Tax Benefit



\$300

Owning often provides tax deductions for mortgage interest and property taxes. You could save \$300 in tax deductions monthly!

Compare

RENT	OWN
 \$2,200	 \$1,800
 \$1,166	 \$579
	 \$291
	 \$-300

\$3,366 **\$2,370**

\$996
Losing Per
Month to Rent



Burn-to-Earn Formula™

How to Move From Renting to Owning

3

Get Leverage

Start by viewing a home as more than just a place to live but as an appreciating asset that grows in value over time.

- By purchasing a home, you begin building equity, which can increase significantly over the years.
- As the property appreciates, you can leverage the equity for future investments, including buying additional properties.
- This strategy allows you to build an investment or real estate portfolio, creating a stable foundation for long-term financial growth.

The ability to pass down these assets to future generations strengthens family wealth and financial security.

**Here are 2 Examples of Building
Wealth From Your New Home**





EXAMPLE: LEVERAGE FOR SECOND INVESTMENT

Example 1: HOME APPRECIATION AND EQUITY GROWTH

- **Initial Purchase:** You buy a home for \$350,000.
- **Annual Appreciation:** Assume a modest 4% annual appreciation rate.
- **After 10 Years:** The home's value grows to approximately \$490,000.
- **Equity:** As you pay down the mortgage, you build equity. If you've paid off around \$50,000 of the mortgage principal, you now have \$190,000 in equity (difference between the home's new value and remaining mortgage).

Equity can be leveraged as a down payment for a second investment property, allowing you to start a rental income stream and grow your real estate portfolio.



EXAMPLE: LEVERAGE FOR PASSIVE INCOME

Example 2:

PASSIVE INCOME THROUGH RENTING

- **Initial Purchase:** You buy a \$350,000 home and live in it for 5 years.
- **Renting It Out:** After 5 years, you move to a new home and rent out your initial property for \$2,500 per month.
- **Rental Income:** Assuming a mortgage payment of \$2,000 (including principal, interest, taxes and insurance), you have a net monthly income of \$500.
- **Annual Cash Flow:** This generates an additional \$6,000 per year in passive income, which can help you pay off the mortgage faster or be reinvested elsewhere.

If you continue renting for another 10-15 years, this consistent income boosts your financial position while the property continues to appreciate in value.

First-Time Home Buyer Success Story



Buying my first home felt like a giant leap I wasn't sure I was ready for. Initially, I was just searching for a new apartment, but with one-bedroom rents exceeding \$1,800, it didn't feel worth it. That's when homeownership crossed my mind—it seemed like I could get a mortgage for less than rent!

It was the early days of COVID, and timing was intense. My father had recently passed, and I needed space for my mom to stay temporarily. I was scared, overwhelmed by the idea of such a big purchase, and unsure if I could afford it or even navigate the process.

Thankfully, my real estate agent, Kate, made it easier. She guided me step by step, explaining everything clearly and helping me feel confident. What felt daunting turned into a smooth, supportive experience.

Now, I'm a homeowner, and it feels incredible! I love my home, my neighborhood, and knowing I'm building equity for my future. Taking the leap was worth it.

What Do Our First-Time Home Buyers Have to Say?



**Eric
Blankenship**

I had the pleasure of working with Gaurav over 10 years, first with our condo rental then transitioning to a condo sale. I always appreciated his honesty and trusted him to do what he thought was best. The end result was a positive experience all the way around.



**Ricky
Cain**

A great team starts with great leadership, and Gaurav is an exceptional leader. His passion for sharing with others is unparalleled, and his team's focus on the client experience makes them our go to for those looking to buy, sell or invest in real estate within the greater Philly area.



**Peter
Hyndman**

Gaurav was an excellent realtor. He was incredibly responsive and helpful for my girlfriend and me, especially considering that we were buying our first house. He was very patient with us and answered all of our questions very thoroughly. And perhaps most importantly he negotiated a great price for us, below asking price right as the housing market was getting ridiculous in the summer of 2020!

Over 950 Five-Star Reviews!



Google

Zillow



Gaurav Gambhir
CEO | Realtor®
(267) 435-3003



The truth is, I could go on and on. Who you decide to work with matters. Get the ball rolling and schedule a free strategy session with my team. With my Burn-To-Earn™ Formula, we'll assess your needs and create a free success plan tailored just for you - guiding you through each step.

Owning isn't for everyone, but I'm committed to honest guidance every step of the way. Visit burntoearnformula.com for your free session!

Book your Strategy Session

kW PHILADELPHIA
KELLERWILLIAMS.